SENATE JOINT RESOLUTION 27

By Johnson

A RESOLUTION authorizing low-income housing tax credits.

WHEREAS, Tennessee has prioritized low-income and affordable housing for Tennesseans across this great State; and

WHEREAS, to continue this State's progress in increasing low-income and affordable housing for Tennesseans, it is important to provide mechanisms for building, developing, and rehabilitating such housing; and

WHEREAS, there is a federal income tax liability credit for low-income housing; and

WHEREAS, the federal income tax liability credit rate for eligible developments is determined through competitive and noncompetitive credits for new construction costs, rehabilitation costs, acquisitions costs, and use of tax-exempt bonds; and

WHEREAS, in 2024, Public Chapter 971, was enacted, which authorizes the Tennessee Housing Development Agency to allocate Tennessee rural and workforce housing tax credits against taxpayer liability; and

WHEREAS, the Tennessee Housing Development Agency shall allocate such credits to qualified projects pursuant to the agency's qualified allocation plan that is developed pursuant to Section 42 of the Internal Revenue Code of 1986 (26 U.S.C. § 42); and

WHEREAS, under Public Chapter 971 of 2024, to the extent such qualified projects exist, at least fifty percent of the authorized Tennessee rural and workforce housing tax credits must be allocated to qualified projects in an eligible rural area, and no more than fifty percent of the authorized Tennessee rural and workforce housing tax credits may be allocated to qualified projects outside of eligible rural areas; now, therefore,

BE IT RESOLVED BY THE SENATE OF THE ONE HUNDRED FOURTEENTH GENERAL ASSEMBLY OF THE STATE OF TENNESSEE, THE HOUSE OF REPRESENTATIVES CONCURRING, that pursuant to Public Chapter 971 of 2024, the members of this General Assembly hereby direct the Tennessee Housing Development Agency to utilize the following authorizations of Tennessee rural and workforce housing tax credits pursuant to the qualified allocation plan developed by the agency:

There is authorized in calendar year 2026, $10,000,000 per year for ten years;

There is authorized in calendar year 2027, $10,000,000 per year for ten years; and

There is authorized in calendar year 2028, $10,000,000 per year for ten years.

BE IT FURTHER RESOLVED, that an appropriate copy of this resolution be prepared for presentation with this final clause omitted from such copy and upon proper request made to the appropriate clerk, the language appearing immediately following the State seal appear without House or Senate designation.